UNIT II – Ethics in Management

23A52701a BUSINESS ETHICS & CORPORATE GOVERNANCE | JNTUA R23

B.Tech – Exam Notes

1. Introduction

Ethics in management = applying moral principles (right/wrong, fair/unfair) to **managerial decisions** in every functional area – production, finance, HR, marketing.

- Manager's decisions affect → **stakeholders**: owners, employees, customers, suppliers, govt, society
- Law = **minimum** standard; Ethics = **higher** standard (legal ≠ always ethical)
- Unethical act → fines, lawsuits, loss of brand, loss of trust (Satyam, VW, Boeing)
- Ethical firm → trust, loyalty, talent, investor confidence, long-term profit



Fig 1: Areas of ethics in management

2. Ethics in Production / Operations Management

- **Product safety** – product must not harm user; test before launch; recall if defective
- **Quality** – no cheating on specs / materials; honest quality certification (ISO, BIS)
- **Pollution & environment** – safe effluent/waste disposal; emission norms; sustainable use of resources

- **Planned obsolescence** – deliberately making a product fail/outdated early to force repurchase (phones, printers) → questionable
- **Labour conditions** – safe workplace, no child/forced labour, working hours, wages (Factories Act 1948)
- **Honest cost & supply chain** – no sweatshop suppliers, no bribery in purchasing

Classic cases

Case	What happened	Ethical lesson
Ford Pinto (1970s, USA)	Fuel tank placed badly → fires in rear collisions; Ford knew, did cost-benefit (fix ≈ $11/car vs payout) and delayed fix	Profit over life; cost-benefit cannot price human life
Bhopal gas tragedy (Dec 1984)	MIC leak from Union Carbide plant; thousands died; safety systems off, cost cutting, poor maintenance	Safety neglect; corporate responsibility; led to Environment Protection Act 1986
Volkswagen "Dieselgate" (2015)	Defeat-device software cheated NOx emission tests in ~11 million diesel cars	Deception of regulators & customers; huge fines, CEO resigned

3. Ethics in Finance

- **Insider trading** – trading shares using **unpublished price-sensitive information** (UPSI); banned by **SEBI (PIT) Regulations 2015**
- **Window dressing** – making financial statements look better than reality just before the balance-sheet date (temporary loans, shifting sales)
- **Creative accounting** – bending accounting rules to show desired profit (fake revenue, hiding debt, off-balance-sheet items)
- **Misuse of funds** – diverting company/public money for personal use; related-party transfers; round-tripping
- **Ethical investing (SRI / ESG)** – invest only in firms that are environment-friendly, socially responsible, well governed; avoid tobacco, arms, etc.
- Also: false prospectus, price rigging, money laundering, tax evasion vs **tax planning** (legal)

Scam	Year	Nature of unethical act
Harshad Mehta	1992	Used bank receipts (BRs) & inter-bank funds to rig stock prices; Sensex crash; led to SEBI Act 1992 strengthening
Satyam (Ramalinga Raju)	2009	Inflated cash/profit ≈ ₹7,000 cr; "India's Enron"; led to tighter audit & governance (Companies Act 2013)
Nirav Modi–PNB	2018	Fraudulent Letters of Undertaking (LoUs) via SWIFT, ≈ ₹14,000 cr; weak internal controls, collusion of staff

★ *Important*

Finance ethics keywords: **Honesty, Transparency, Fiduciary duty, No UPSI misuse, True & fair view.** Mnemonic: **I-W-C-M** = Insider, Window, Creative, Misuse.

4. Ethics in Human Resource Management

- **Recruitment & selection** – fair, merit-based; no nepotism; honest job ads; no false promises
- **Discrimination** – on caste, religion, gender, disability, age is unethical (Art. 14-16 Constitution; Equal Remuneration Act 1976; RPwD Act 2016)
- **Privacy** – protect employee data; limited surveillance; DPDP Act 2023
- **Sexual harassment** – **POSH Act 2013** (Sexual Harassment of Women at Workplace – Prevention, Prohibition & Redressal):
  - Internal Complaints Committee (ICC) mandatory in offices with ≥ 10 employees
  - Complaint within 3 months; inquiry in 90 days; Vishaka Guidelines (1997) were the base
- **Fair wages & benefits** – Code on Wages 2019; equal pay for equal work; no exploitation, no bonded/child labour
- **Whistle-blowing** – employee discloses wrongdoing inside firm; protect from retaliation (Whistle Blowers Protection Act 2014; Companies Act 2013 s.177 vigil mechanism)
- **Termination** – fair notice, valid reason, hearing, dues paid (Industrial Disputes Act 1947 – retrenchment compensation); no arbitrary firing
- **Employee rights** – safe workplace, dignity, freedom of association, grievance redressal, PF/ESI, maternity benefit

Whistle-blowing = disclosure by insider of illegal/unethical practice to those who can act. Ethical if: serious harm, internal channels tried, evidence is solid, good faith (not revenge).

5. Ethics in Marketing Management

- **Misleading / false advertising** – exaggerated claims, hidden terms, fake testimonials, surrogate ads (liquor), celebrity endorsement without checks
- **Consumer rights** (CPA 2019): safety, information, choice, be heard, redressal, consumer education
- **Consumer Protection Act 2019** (replaced 1986 Act):
  - CCPA – Central Consumer Protection Authority (class action, recall, penalise misleading ads)
  - Product liability; e-commerce rules; 3-tier forums: District, State, National Commission
- **ASCI** – Advertising Standards Council of India (1985), self-regulatory; ads must be honest, decent, non-harmful, fair
- **Unfair trade practices** – false claims, bait-and-switch, hoarding, black-marketing, adulteration, selling expired goods
- **Greenwashing** – falsely claiming a product is eco-friendly ("natural", "green") – CCPA green-claims guidelines 2024

4 Ps	Ethical issues
Product	Unsafe/defective goods, misleading labels, harmful products to kids, planned obsolescence, poor packaging info
Price	Price fixing / cartel, predatory pricing, price gouging in crisis (sanitizers 2020), hidden charges, deceptive MRP discounts
Promotion	False/exaggerated ads, bribing influencers, high-pressure selling, ads targeting children, fake reviews
Place (distribution)	Hoarding & artificial shortage, exclusive-dealing coercion, grey market, exploiting small retailers, dumping

★ *Important*

Example: **Maggi (Nestlé India, 2015)** – ban for excess lead & "no added MSG" label claim → product safety + label honesty. **Nestlé baby-milk formula** controversy (global) – aggressive promotion in poor countries.

6. The Ethical Value System

Ethical value system = set of moral principles/theories that guide **what is right** and help managers justify decisions. Six major approaches in syllabus:

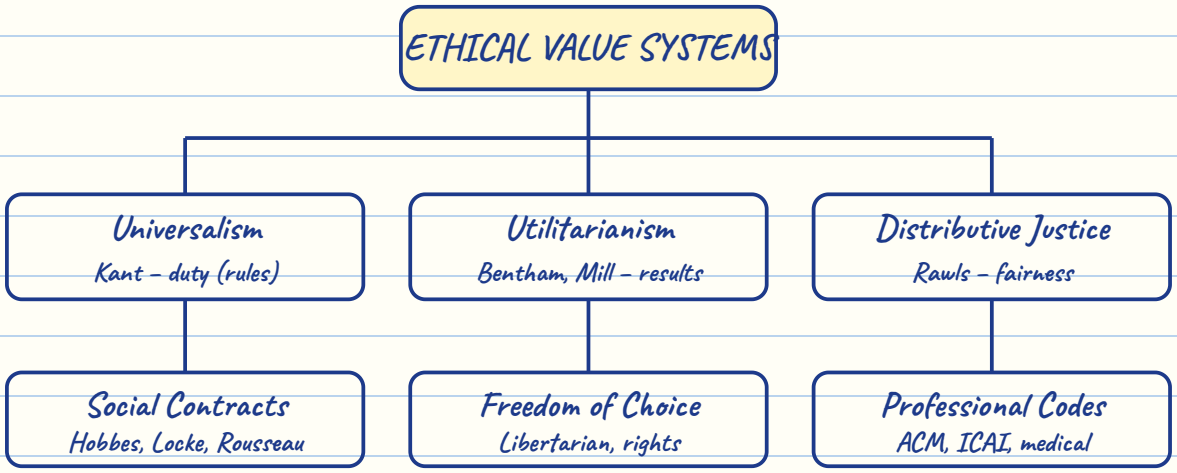


Fig 2: Ethical value systems

(a) Universalism (Deontology – Immanuel Kant)

- **Meaning**: an act is right if it follows a **universal moral rule/duty**, whatever the result ("duty for duty's sake")
- **Categorical imperative**:
  - Universal law – act only on a rule you would want **everyone** to follow
  - Humanity – treat people as **ends**, never merely as means
- **Merits**: clear, consistent, protects human dignity & rights; no favouritism
- **Demerits**: rigid, ignores consequences; rules may conflict (truth vs saving a life)
- **Example**: never lie in ads, even if lying raises sales; no bribery even if everybody does it

(b) Utilitarianism (Jeremy Bentham, J.S. Mill)

- **Meaning**: right act = one giving the **greatest good (happiness) to the greatest number** (teleological / consequentialist)
- **Act** utilitarianism – judge each single act by its result; **Rule** utilitarianism – follow rules that generally give best results
- Bentham = quantity of pleasure (felicific calculus); Mill = **quality** of pleasure also counts
- **Merits**: practical, cost-benefit friendly, focuses on social welfare
- **Demerits**: minority may suffer; hard to measure happiness; "ends justify means" (Ford Pinto cost-benefit!)
- **Example**: closing a polluting plant → job loss for few but health for thousands

(c) Distributive Justice (John Rawls, A Theory of Justice, 1971)

- **Meaning**: fair distribution of **benefits and burdens** (wealth, rights, opportunity) in society
- **Veil of ignorance** – choose rules without knowing your own position (rich/poor, caste, gender) → rules will be fair
- Rawls' **two principles**:
  1. **Equal basic liberty** for all
  2. **Difference principle** – inequality allowed only if it benefits the **least advantaged** and offices are open to all (fair equality of opportunity)
- **Merits**: protects the weak; basis of welfare, reservation, progressive tax, equal pay
- **Demerits**: may reduce incentive & effort; hard to define "fair"; ignores merit/effort
- **Example**: equal pay for equal work; pay gap between CEO & workers; CSR spending on weaker sections

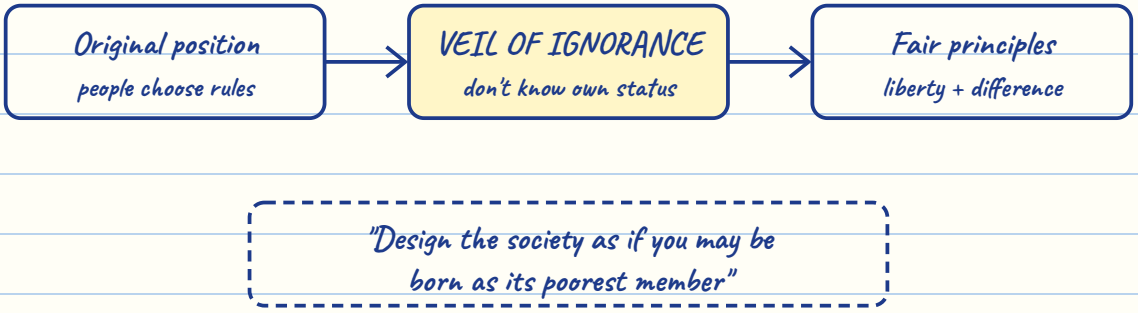


Fig 3: Rawls – veil of ignorance

(d) Social Contract Theory

- **Meaning**: morality/authority comes from an **implicit agreement** among members of society to live by rules for mutual benefit
- **Hobbes** (Leviathan) – life without state is "nasty, brutish, short" → people surrender rights to a strong ruler
- **Locke** – natural rights to life, liberty, property; govt rules by consent, limited power
- **Rousseau** (The Social Contract) – **general will** of the people; community sovereignty
- **Integrative Social Contracts Theory** (Donaldson & Dunfee):
  - **Macrosocial** contract – universal **hypernorms** (basic human rights, no slavery)
  - **Microsocial** contract – local community / industry norms, valid if consistent with hypernorms

- **Business view**: company has implied contract with society → licence to operate in return for jobs, safe goods, CSR
- **Merits**: links business to society; allows cultural variation. **Demerits**: contract is hypothetical, not signed; vague on what is agreed; may favour powerful

(e) Individual Freedom of Choice (Libertarianism & Rights theory)

- **Meaning**: each person is free to act as they choose provided they **do not harm** others' freedom; minimal state interference (Robert Nozick, Milton Friedman: "business of business is business")
- **Rights theory** (Locke): **moral/natural rights** – life, liberty, property, privacy, free speech; one person's right = others' duty
- **Merits**: respects autonomy, free markets, innovation, informed consent
- **Demerits**: ignores inequality & social good; rights may clash (consumer's safety vs firm's freedom to sell); externalities like pollution
- **Example**: employee's right to privacy; consumer's right to choose; firm's freedom to set price (but not collude)

(f) Professional Codes

- **Meaning**: written rules of conduct framed by a profession for its members → duties to client, public, profession
- Examples: **ACM / IEEE** codes (public interest, no harm, honesty, confidentiality); **Engineers' code** (NSPE: public safety first); **Medical** (Hippocratic oath, MCI/NMC code – confidentiality, "do no harm"); **ICAI Code of Ethics** (integrity, objectivity, independence, confidentiality, due care; misconduct under Chartered Accountants Act 1949)
- **Merits**: clear guidance, public trust, disciplinary power. **Demerits**: may protect members, cannot cover all cases, depends on enforcement

7. Comparison of Theories & Ethical Decision Test

Theory	Key idea	Judges by	Weakness
Universalism	Follow duty/rule	Act itself (deontological)	Rigid
Utilitarianism	Greatest good	Consequences	Minority ignored
Distributive justice	Fairness, help least-off	Fair distribution	Reduces incentive
Social contract	Implied agreement	Norms of community	Vague
Freedom of choice	Liberty, rights	No harm to others	Ignores welfare
Professional codes	Written rules	Code compliance	Limited / self-serving

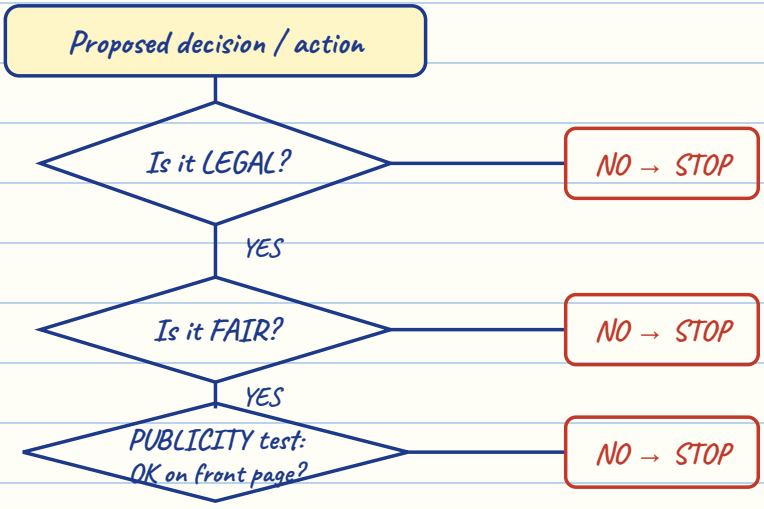


Fig 4: Three-question ethical decision test (all YES → proceed)

- **Legal test** – does it break any law/regulation/company policy?
- **Fairness (balance) test** – is it fair to all stakeholders? Would I like it done to me (golden rule)?
- **Publicity (newspaper / TV) test** – would I be comfortable if it was public, or explained to my family?
- Extra: Utility test (greatest good?), Rights test (violates anyone's rights?), Virtue test (what would a person of integrity do?)

8. Culture and Ethics

Culture = shared values, beliefs, customs, language and behaviour of a group. Culture shapes **what people consider ethical** → same act can be accepted in one country and punished in another.

Hofstede's cultural dimensions (Geert Hofstede, IBM study, 1980)

Dimension	Meaning (ethical impact)
Power Distance	Acceptance of unequal power; high → obedience to boss, little questioning (India, Malaysia)
Individualism vs Collectivism	"I" vs "We"; collectivist → loyalty to group, favouritism to kin (India, China); individualist → personal rights (USA, UK)
Masculinity vs Femininity	Competition, success vs care, quality of life
Uncertainty Avoidance	Comfort with ambiguity; high → strict rules & codes (Japan, Greece)
Long-term Orientation	Future thrift vs tradition/short-term (China, Japan)
Indulgence vs Restraint	Freedom to enjoy vs strict norms (added later, 2010)

Ethical values in different cultures

Western	Eastern (Asian, Indian)
Individualism, personal rights	Collectivism, family/community duty
Rule/contract-based, written law	Relationship-based (guanxi China, jugaad/networks India)
Direct, low power distance	Respect for seniors, high power distance
Efficiency, profit, shareholder	Harmony, dharma, stakeholder (Vasudhaiva Kutumbakam, Gita: nishkama karma)

- **Bribery vs gift-giving**: gifts are courtesy in Japan, China, Middle East, but may look like bribe in USA; **facilitation (grease) payments** normal in some places
- **Foreign Corrupt Practices Act 1977 (USA)** – bans US firms bribing foreign officials; accounting provisions (books & records)
- **UK Bribery Act 2010** – stricter: covers private bribery too, no facilitation-payment exemption; corporate offence of failing to prevent bribery
- India: **Prevention of Corruption Act 1988** (amended 2018 – bribe-giver also liable)

Ethical relativism vs Universalism

Cultural / Ethical relativism	Ethical universalism
Right/wrong depends on culture: "When in Rome, do as Romans do"	Some values are universal everywhere (no murder, theft, slavery, bribery)
Tolerant of differences	Gives one global standard
Risk: justifies bad practices (child labour, bribery)	Risk: imposes one culture's views

★ Important

Middle path = **Integrative social contract**: respect local norms but never violate **hypernorms** (human dignity, basic rights, fairness). Multinationals follow a **global code + local adaptation**.

9. Culture and Individual Ethics

- Individual ethics are **learned** from: **Family** (first teacher – honesty, respect), **Religion** (moral codes – karma, dharma, charity), **Education** (values, role models), **Peers & society** (group pressure), **Media**, **Workplace culture** (what boss rewards), **Law**
- Personal factors: conscience, self-strength, locus of control, experience

Kohlberg's Stages of Moral Development (Lawrence Kohlberg, 1958-81)

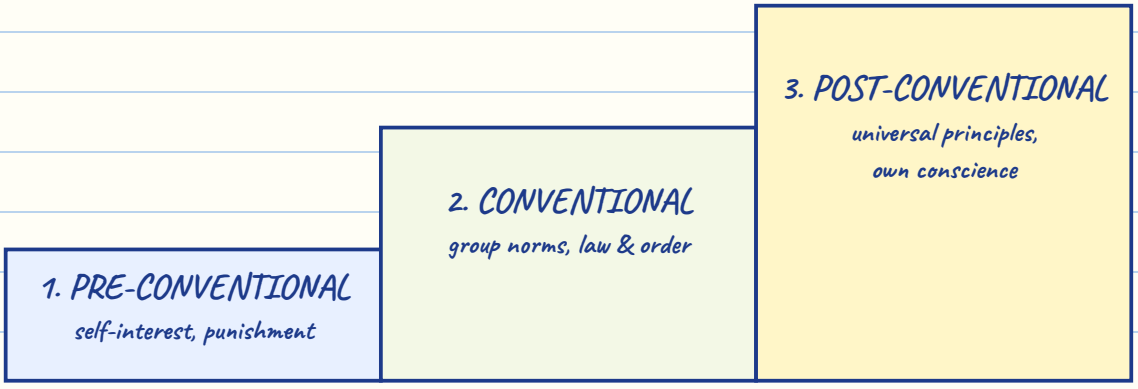


Fig 5: Kohlberg – 3 levels, 6 stages (staircase of maturity)

Level	Stage	Basis of decision
I Pre-conventional	1 Obedience & punishment	Avoid being punished
	2 Self-interest (exchange)	"What's in it for me?"
II Conventional	3 Interpersonal conformity	Be a "good boy/girl"; approval of peers
	4 Law & order	Follow rules, duty, authority
III Post-conventional	5 Social contract	Rights of all, democratic laws
	6 Universal principles	Justice, dignity, own conscience (Gandhi, Mandela)

- Most managers are at level 2; ethical leaders aim at level 3

10. Professional Ethics and Technical Ethics

- **Professional ethics** = moral code governing conduct of members of a **profession** (doctor, lawyer, CA, engineer, manager) in relation to clients, employers, public → integrity, competence, confidentiality, accountability, public interest. Backed by body (ICAI, BCI, NMC, IEI)
- **Technical ethics** = ethics arising in **design, use and impact of technology / technical work** – safety, reliability, environment, data privacy, AI fairness, intellectual property, whistle-blowing on unsafe design

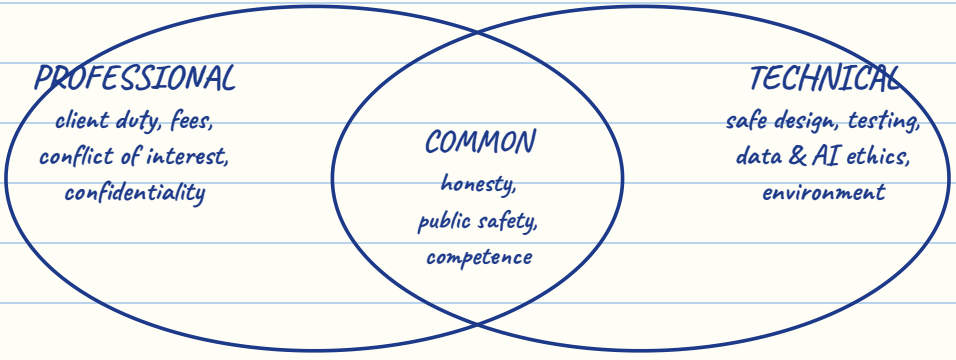


Fig 6: Professional vs technical ethics (overlap)

Basis	Professional ethics	Technical ethics
Focus	Conduct of the **person** in a profession	Moral issues of **technology / technical work**
Scope	Client, employer, colleagues, society	Product, process, user, environment
Source	Professional bodies' codes (ICAI, NMC, IEEE)	Engineering standards, safety laws, tech guidelines
Enforced by	Disciplinary action / licence cancel	Regulators, standards (BIS, ISO), liability
Examples	CA auditing honestly; lawyer keeping secrets; doctor confidentiality	Safe bridge design; no hidden software defeat device; AI bias

11. Engineers' Ethics

- **Public safety** first (paramount duty – NSPE, IEEE)
- **Honesty** – truthful reports, data, test results; no falsifying
- **Confidentiality** – protect employer/client trade secrets
- **Conflict of interest** – avoid, or disclose (gifts, shares, side-jobs)
- **Competence** – work only in area of expertise; no plagiarism; respect IPR; fair credit

Case	Facts	Lesson
Challenger (28 Jan 1986)	Space shuttle exploded 73 s after launch; O-ring failed in cold; engineers (Roger Boisjoly, Morton Thiokol) warned, but management overruled	Engineers' warning must be heard; pressure of schedule vs safety; whistle-blowing
Boeing 737 MAX (2018 Lion Air, 2019 Ethiopian)	MCAS software flaw; 346 died; pilots not informed; cost & time pressure, weak oversight	Transparency, safe design, regulatory honesty

12. Developing Ethical Values in Self and Organization

Self

- Know your values; reflect daily; think of consequences; seek advice
- Honesty in small things; keep promises; accept mistakes; courage to say "No"
- Learn from role models; read, meditate; apply decision test

Organization

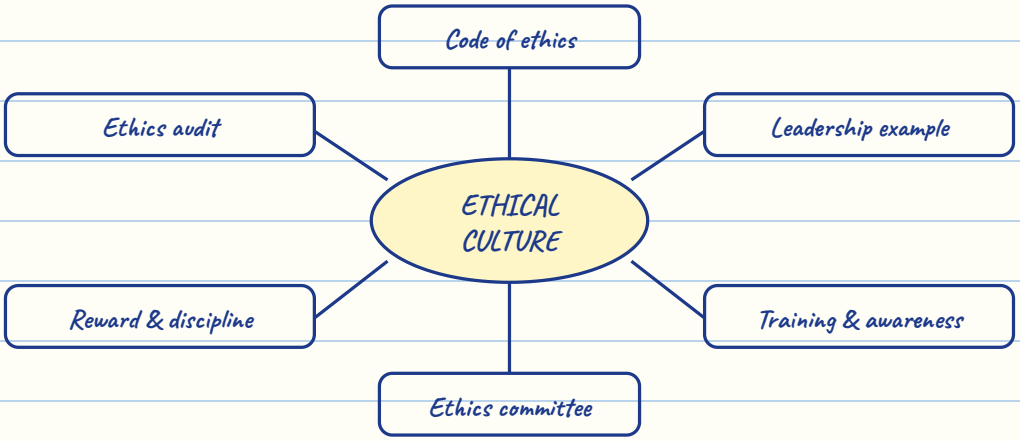


Fig 7: Building an ethical organization

- **Code of ethics** – written, simple, covers bribery, conflict, harassment, data; signed by all (e.g. Tata Code of Conduct)
- **Leadership** – "tone at the top"; leaders walk the talk (J.R.D. Tata, N.R. Narayana Murthy)
- **Training** – induction + regular workshops, case studies, e-learning
- **Ethics committee / officer** – advises, investigates; helpline; whistle-blower channel
- **Reward system** – reward ethical behaviour, punish violations, fair appraisal (no "target at any cost")
- **Ethics audit** – periodic check of compliance, social/environmental performance; report to board; corrective action

★ *Important*

Mnemonic: C-L-T-C-R-A = Code, Leadership, Training, Committee, Reward, Audit.

13. Quick Revision & Likely Exam Questions

Quick facts

- Kant = duty; Bentham/Mill = greatest good; Rawls = veil of ignorance + difference principle; Hobbes/Locke/Rousseau = contract; Nozick = libertarian
- Hofstede = 5/6 dimensions; Kohlberg = 3 levels, 6 stages; FCPA 1977; UK Bribery Act 2010; POSH 2013; CPA 2019; Companies Act 2013
- Cases: Pinto, Bhopal, VW | Satyam, Harshad, Nirav Modi | Challenger, Boeing MAX

2-mark questions

1. Define ethics in management.
2. What is planned obsolescence?

3. Distinguish insider trading and window dressing.
4. State Kant's categorical imperative.
5. What is the veil of ignorance?
6. Define whistle-blowing.
7. What is greenwashing?
8. Name Hofstede's dimensions.
9. What is ethical relativism?
10. State the publicity test.

5-mark questions

1. Explain ethics in marketing with 4 Ps.
2. Discuss ethical issues in HRM; note POSH Act 2013.
3. Explain utilitarianism with merits and demerits.
4. Rawls' theory of distributive justice.
5. Kohlberg's stages of moral development.
6. Compare professional ethics and technical ethics.
7. Bribery vs gift-giving; FCPA and UK Bribery Act.
8. How to build ethics in an organization?

10-mark questions

1. Explain ethics in production, finance, HRM and marketing with examples.
2. Discuss the ethical value systems – universalism, utilitarianism, justice, social contracts, freedom of choice, professional codes – with comparison.
3. Explain culture and ethics: Hofstede, relativism vs universalism, culture and individual ethics.
4. Case analysis: Satyam / Bhopal / Challenger / Boeing 737 MAX – ethical lapses and lessons.

★ **Important**

Write-up tip: Definition → features/theory → example (Indian + global) → merits/demerits → diagram/table → conclusion.